

ECONOMY

LECTURES



GLOBALISATION - PART 2

MODULE - 6

INDIA & CHINA DURING GLOBALISATION

CHINA



Shenzhen

INDIA



Bengaluru



FACTORS WHICH AIDED GLOBALISATION IN RECENT TIMES

1

Liberalisation in two most populous countries i.e., China (1978) & India (1991) & huge markets in these countries



CHINA



INDIA

2

Integration of World Trade with well written trade rules among the countries



WORLD TRADE
ORGANIZATION

3

Rapid improvements in technology, especially in Information and Communication Technology (ICT)



FINALLY ... WHAT IS GLOBALISATION ?



Good Food, Good Life



1 Process of **rapid integration** of **interconnection** between countries

2 It is movement of

- Goods
- Services
- Investments
- Technology
- People

across the boundaries



GLOBALISATION

ADVANTAGES



TOYOTA

- 1 Competition resulted in increased productivity of domestic industries (partially true in our country)
- 2 Improved quality and lower prices for various products
- 3 Wider choice for the consumers
- 4 Much higher standards of living than earlier for some sections of society
- 5 Technology transfer and technology upgradation benefitted domestic companies to some extent
- 6 IT sector proliferated immensely
- 7 Local companies supplying raw materials also benefitted.
- 8 Some Indian companies became MNCs

WIDE VARIETY OF MOBILE PHONES



SAMSUNG



BLACKBERRY



HTC



APPLE

WIDE VARIETY OF CARS



VOLKSWAGEN



FORD



MERCEDES BENZ



HONDA



BMW



TOYOTA

HIGHER STANDARDS OF LIVING



TECHNOLOGY TRANSFER

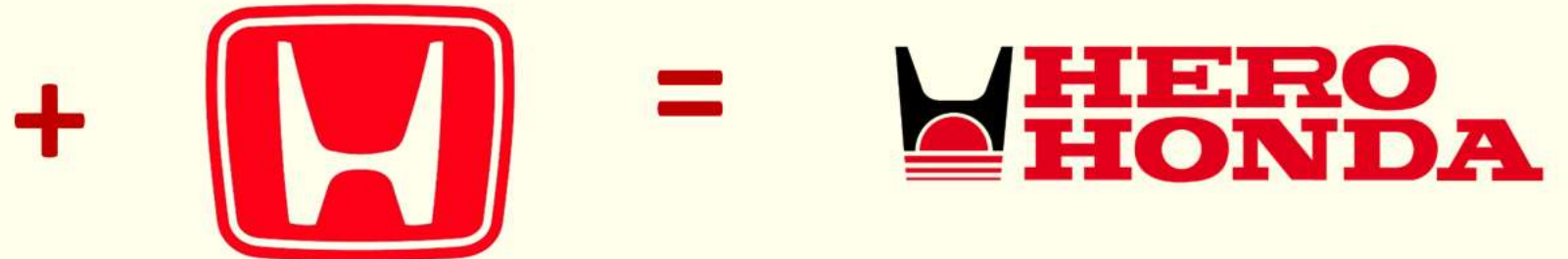


INDIA

JAPAN



INDIA



JAPAN



GLOBALISATION



DISADVANTAGES



TOYOTA

- 1 Well-off sections in urban areas are only benefitted
- 2 Some small producers were decimated due to global competition
- 3 Several industries like manufacturing of batteries, plastic toys & tyres etc., were shut down
- 4 Due to the shut down of some MSMEs, several people became jobless
- 5 More employment is being created as flexible / on temporary basis due to competition / uncertainty
- 6 Indian manufacturing sector as a whole suffered but services sector benefitted
- 7 Domestic industries, also suffered due to subsidies in some countries

LIBERALISATION

1

FOREIGN
TRADE

2

FOREIGN
INVESTMENTS

EXPORTS /
IMPORTS



So many
restrictions

TILL
1991



Gradually being
removed

FROM
1991

FPI
FDI



So many
restrictions

TILL
1991



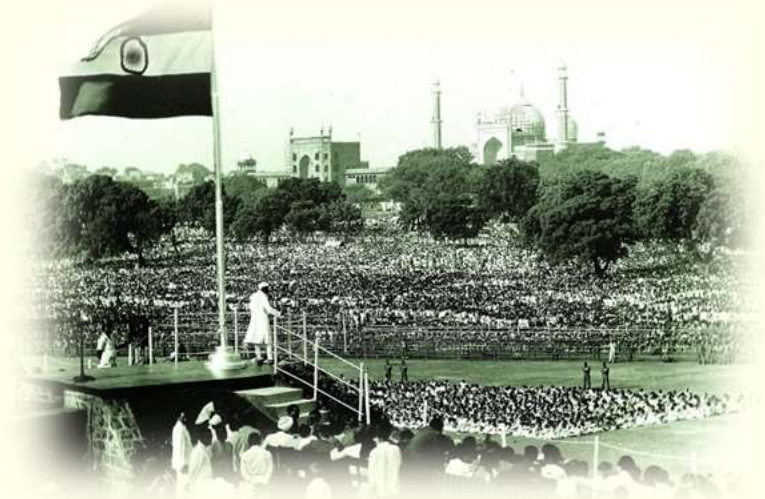
Gradually being
removed

FROM
1991

Trade barriers can be tariff barriers and non-tariff barriers

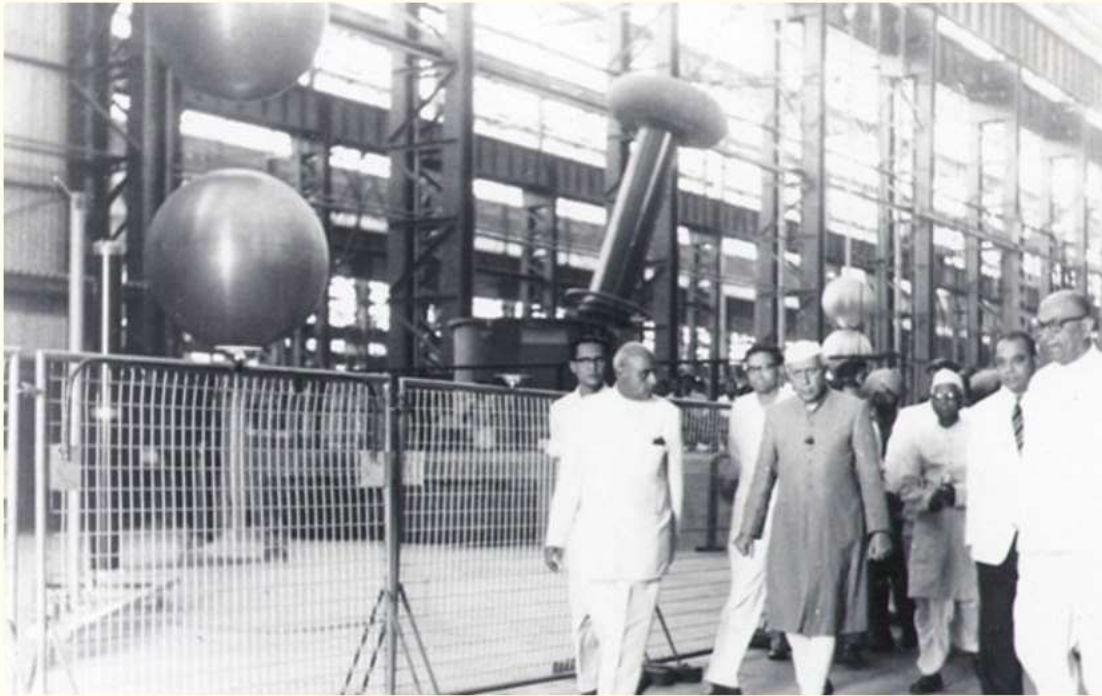


A young boy on the left and a man on the right are both wearing blue shirts. The boy is wearing a long, dark blue kurta and matching pants, with black shoes. The man is wearing a light blue button-down shirt, grey trousers, a brown belt, and brown shoes. A vertical red line separates the two figures.



**ONE SHOULD ALLOW A CHILD TO GROW UPTO 25
YEARS TO STAND ON HIS OWN**

BHEL IN 1960s



NTPC IN 1970s



ECONOMY



GLOBALISATION

WHY INDIA WAITED TILL 1991?

- 1 India after independence put barriers on foreign trade and investments as it was felt that it was considered necessary to protect the producers within the country from foreign competition
- 2 It was felt imports would not have allowed these industries to come up.
- 3 Strict restrictions were imposed, except on essential items like petroleum products, capital goods and fertilizers etc.
- 4 This is in tune with the protection offered by the developed countries also, during their early stages of development

ECONOMY



P V Narsimha Rao
 Prime Minister in 1991



GLOBALISATION

WHY ONLY IN 1991?



Manmohan Singh
 Finance Minister in 1991

- 1** During 1980s Governments due to politics of populism spent lavishly
- 2** There was minor oil shock due to Iraq's invasion of Kuwait in 1990
- 3** During 1990, Balance of Payments (BoP) situation was precarious
- 4** India took \$1.8 bn loan with minimum conditions in January 1991 from IMF
- 5** 20 tones of gold confiscated from smugglers was sold to Union Bank of Switzerland for \$200 million with repurchase option
- 6** Subsequently, sharp depreciation of exchange rate of rupee along with usage of gold reserves of RBI to borrow money took place

Under the above circumstances, it became "Utmost necessity" for India to open up markets !